

Reader's Digest. Our findings were seized upon by investor advocates, financial commentators, regulators, and plaintiff lawyers as evidence that variable annuities were overpriced, oversold, and unsuitable. At the time, I was quite surprised at the attention this report garnered, because the article was full of equations and regressions, which normally don't travel beyond the ivory tower.

In fact, I actually ended up taking the witness stand in a number of related lawsuits and regulatory actions to opine that a promise of getting your money back when you die was "kind of pointless" and at the very least could be replicated using cheaper forms of life insurance.

Indeed, I still stand behind those results, even if it means that I occasionally come face-to-face with disgruntled insurance industry executives who believe that our results were misguided. Remember, I never said that variable annuities were evil, dangerous, or unsuitable. Our basic position was that for many investors, a similar financial outcome could be achieved at a lower cost.

Times and Products Are Changing

However, in the last few years that I have been observing this industry, I am seeing a titanic shift in the way VA policies are being designed, priced, and marketed to the public. Namely, right now a much greater focus is being placed on the "pay-out" stage of the annuity life-cycle and the concept of annuitization. Either way, it is now time for me to update my official position on these instruments. But first things first, let's get a better understanding of the pay-out phase and how exactly a pension annuity really works.

What Exactly Is Annuitization?

Traditionally, when an annuity policyholder ends the pay-in phase by electing to receive a guaranteed income benefit, he is said to annuitize the account or to purchase an immediate or pay-out annuity. This "A" word strikes fear into the hearts and wallets of investors because it involves irreversibly handing over a lump sum of money—to an in-